Share sacrificed = Old share × Proportion of share sacrificed

Prasanth $= \frac{3}{5} \times \frac{2}{5} = \frac{6}{25}$

Nisha $= \frac{2}{5} \times \frac{2}{5} = \frac{4}{25}$

Sacrificing ratio of Prasanth and Nisha is $\frac{6}{25}$ and $\frac{4}{25}$, that is, 3:2

New share = Old share - Share sacrificed

Prasanth $= \frac{3}{5} - \frac{6}{25} = \frac{15-6}{25} = \frac{9}{25}$

Nisha $= \frac{2}{5} - \frac{4}{25} = \frac{10-4}{25} = \frac{6}{25}$

Share of new partner = Sum of shares sacrificed by Prasanth and Nisha

Ramya $= \frac{6}{25} + \frac{4}{25} = \frac{6+4}{25} = \frac{10}{25}$

New profit sharing ratio of Prasanth, Nisha and Ramya = $\frac{9}{25} : \frac{6}{25} : \frac{10}{25}$ that is, 9:6:10

(ii) When proportion of share sacrificed on new partner's share is given

When new profit sharing ratio is not given, but the proportion of share sacrificed on new partner's share is given, new profit sharing ratio is calculated as follows:

New share of old partner	= Old share - Share sacrificed
Share sacrificed	= New partner's share × Proportion of share sacrificed

Illustration 14

Ramesh and Raju are partners sharing profits in the ratio of 2:1. They admit Ranjan into partnership with 1/4 share of profit. Ranjan acquired the share from old partners in the ratio of 3:2. Calculate the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Ranjan's share $= \frac{1}{4}$

Old ratio = 2:1 that is, $\frac{2}{3} : \frac{1}{3}$

Proportion of share sacrificed = 3:2 that is, $\frac{3}{5} : \frac{2}{5}$

Share sacrificed = New partner's share × Proportion of share sacrificed

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